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Question No : 1 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

Answer (Please select your correct option)

- Partnership
- Company

Correct answer solved by Hadi
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- Sole proprietorship
- None of the given options

Question No : 2 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following are the components of General Ledger?
1) Title of account
2) Amount of transaction
3) Date of transaction

Answer (Please select your correct option)

- (1) & (2) only
- (2) & (3) only
- (1) & (3) only
- (1), (2) & (3)

Question No : 3 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Accounts Receivable & Inventory are the examples of:

Answer (Please select your correct option)

- Liquid assets
- Current assets

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- Fixed assets
- Capital assets

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Question No : 4 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

The favorable balance of Profit and Loss account should be:

Answer (Please select your correct option)

- Added in liabilities
- Subtracted from current assets
- Subtracted from liabilities
- Added in capital

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Question No : 5 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

Answer (Please select your correct option)

- Bad debts (Trial balance item)
- Old provision for doubtful debts
- New provision for doubtful debts
- Both Bad debts (given in adjustment) and new provision for doubtful debts

Correct answer solved by Hadi
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Phone: 0[illegible]306
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Question No : 6 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700

Answer (Please select your correct option)

- Rs. 2,225
- Rs. 2,425
- Rs. 1,925
- Rs. 3,025

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Question No : 7 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following statements is **NOT TRUE** about the partnership form of business?

Answer (Please select your correct option)

- A partnership is a business run by two or more persons
- A partnership business is easy to set up
- Each partner is liable under the law for the actions of other partners
- In the absence of agreement, partners will be paid salaries

Correct answer solved by Hadi
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Cell no: 03228043306

Question No : 8 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

Answer (Please select your correct option)

- Interest account
- Partner's capital account
- Profit and Loss account
- Profit and loss appropriation account

Question No : 9 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

Answer (Please select your correct option)

- Capital Reserve
- Authorized share capital
- Paid up share capital
- Share premium

Correct answer solved by Hadi
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Question No : 10 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is **NOT** a cash inflow?

Answer (Please select your correct option)

- Sale of fixed asset
- Issue of debentures
- Cash from business operation
- Purchase of fixed asset

Question No : 11 of 60 **Marks: 1 (Budgeted Time 1 Min)**

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made durin the year. Using this information, compute cash collected from customers.

Answer (Please select your correct option)

- Rs. 205,000

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- Rs. 215,000
- Rs. 195,000
- Rs. 200,000

Question No : 12 of 60 **Marks: 1 (Budgeted Time 1 Min)**

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

Answer (Please select your correct option)

- Rs. 62,500
- Rs. 12,500
- Rs. 10,000
- Cannot be calculated with the help of given data

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Question No : 13 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

Answer (Please select your correct option)

- Rs. 98,000 — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Rs. 147,000
- Rs. 245,000
- Rs. 343,000

Question No : 14 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

Answer (Please select your correct option)

- Rs. 98,000
- Rs. 1, 47,000
- Rs. 2, 45,000
- Rs. 3, 43,000

Question No : 15 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is(are) **CORRECT** for Doubtful Debt?

Answer (Please select your correct option)

- It is shown in balance sheet
- It is a definite loss to the business — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- No provision is necessary for it
- All of the given option

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Question No : 16 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Failure to record _____ will result in understates net income.

Answer (Please select your correct option)

- Accrued expenses
- Expenses incurred
- Accrued revenues
- Accounts payable

Question No : 17 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Primary purpose of the cash flows statement is to provide the information about:

Answer (Please select your correct option)

- Errors or discrepancies between cash book and income statement
- Receipt and payment of cash in the period

Correct answer solved by Hadi
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- Non cash adjustment that effect the income statement
- Cash paid to the customers and creditors of the business

Question No : 18 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is the act of recording each transaction in the Journal?

Answer (Please select your correct option)

- Journalizing
- Posting
- Folioing
- Transferring

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Question No : 19 of 60 **Marks: 1 (Budgeted Time 1 Min)**

A book, in which receipts and payments are recorded, is known as:

Answer (Please select your correct option)

- Ledger Book
- P Cash Book

Correct answer solved by Hadi
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- Purchase Book
- Sales Book

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Question No : 20 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following statement is **FALSE** about a Balance sheet?

Answer (Please select your correct option)

- It is prepared at a particular point of time
- It is prepared for a particular period of time
- It is prepared to show the financial health of a business
- None of the given options

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Question No : 21 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which one of the following statement is **FALSE** about FIFO inventory system during the period of inflation?

Answer (Please select your correct option)

- Current assets have latest marked values
- Volume of profitability becomes higher
- Amount of taxes increases
- Stock is valued at oldest prices

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Question No : 22 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following do **NOT** represent the Prime Cost?

Answer (Please select your correct option)

- Total Factory Cost – Factory Overheads
- Conversion Cost – Factory Overheads + Direct Material Costs
- Total Factory Cost – Direct Labour Cost
- Direct Material Cost + Direct Labour Cost

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Question No : 23 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Depreciation of machinery used for production or manufacturing a product is charged to:

Answer (Please select your correct option)

- Cost of Goods Sold

Correct answer solved by Hadi
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- Administrative Expenses
- Selling Expenses
- Financial expenses

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Question No : 24 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is a value at the end life of an asset?

Answer (Please select your correct option)

- Salvage value
- Written down value
- Face value
- Fair value

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Question No : 25 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is **TRUE** about revenue receipt?

Answer (Please select your correct option)

- It has long term effects
- It does not occur again and again
- It is shown in balance sheet
- It is shown in income statement

Correct answer solved by Hadi
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Question No : 26 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Mr. A's cash book shows a credit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

Answer (Please select your correct option)

- Rs. 21,000
- Rs. 51,000
- Rs. 36,000
- Rs. 15,000

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Question No : 27 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is an example of Administrative expenses?

Answer (Please select your correct option)

- Depreciation

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- Advertising cost
- Mark up on loan
- Service charges of bank

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Question No : 28 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Insurance paid in advance would be treated as:

Answer (Please select your correct option)

- Non current asset
- D Current asset
- Intangible asset
- Deferred expense

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Question No : 29 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is **TRUE** about the Companies Limited by Shares?

Answer (Please select your correct option)

- Company has limited shares to offer
- Shareholders of the Company are limited
- Liability of the shareholders is limited

Correct answer solved by Hadi
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- Liability of the shareholders is unlimited

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Question No : 30 of 60 **Marks: 1 (Budgeted Time 1 Min)**

What would be the effects on financial statements, if Rs. 6,000 transferred to general reserves out of undistributed profit given in adjustment?

Answer (Please select your correct option)

- A It will be treated in both profit and loss appropriation account and in the balance sheet
- It will be treated in income statement only
- It will be treated in profit and loss appropriation account only
- It will be treated as current liability in balance sheet only

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Question No : 31 of 60 **Marks: 1 (Budgeted Time 1 Min)**

A corporation has retained earning of Rs. 100,000 and Rs. 150,000 for the year ended 2006 and 2007 respectively. The corporations had net profits after taxes of Rs. 80,000 i 2007. What will be the amount of dividend paid in the year 2007?

Answer (Please select your correct option)

- Rs. 30,000 — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Rs. 70,000
- Rs. 50,000
- Rs. 20,000

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Question No : 32 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is **NOT** adjusted as working capital change in operating activities section of a cash flow statement

Answer (Please select your correct option)

- Increase in trade receivable
- Decrease in other receivable
- Repayment of dividend
- Increase in inventory

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Question No : 33 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the flowing activity of cash flow statement shows the principal portion of lease rentals as payments towards the addition(purchase) of fixed assets?

Answer (Please select your correct option)

- Operating activities
- Investing activities — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Financing activities
- None of the given options

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Question No : 34 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Nominal value of each share	Rs.10
No. of shares outstanding	10,000 shares
Net profit	Rs. 20,000
What is the EPS	?

Answer (Please select your correct option)

- Rs. 1.00
- b Rs. 2.00
- Rs. 0.20
- Rs. 20.00

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Question No : 35 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

If the cost of goods sold amounts to Rs. 8,850 and other selling expenses amount to Rs. 1,150. What wolud be the amount of profit, if the sales amount to Rs. 15,000?

Answer (Please select your correct option)

- Rs. 15,000
- d Rs. 5,000

Correct answer solved by Hadi
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- Rs. 6,150
- Rs. 13,850

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Question No : 36 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Cost of Rs. 100,000 is incurred for the construction of incomplete fixed assets and these assets are not completed till the end of an accounting period. Which of the following account would be debite for the cost of Rs. 100,000 incurred on construction of such assets if the payment is made through cash?

Answer (Please select your correct option)

- a Capital work in progress account

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- Fixed assets account
- Cash account
- Accounts payable

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Question No : 37 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

The following information has been extracted from the accounting records of A Ltd.

Particulars	Rs.
Balance as per bank statement	?
Deposits in transit	300

Answer (Please select your correct option)

- Rs. 1,800
- Rs. 2,400
- Rs. 2,300
- Rs. 2,900

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Question No : 38 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

When drawing-up a bank reconciliation statement, if you start with an unfavorable balance as per the bank statement, the bank charges of Rs. 100 recorded twice will be:

Answer (Please select your correct option)

- Added by Rs. 100
- Added by Rs. 200
- Subtracted by Rs. 100

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- Subtracted by Rs. 200

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Question No : 39 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following account would be credited on payment of Rs. 10,000 made to trade creditors through cheque for goods purchased on credit?

Answer (Please select your correct option)

- Cash Rs. 10,000
- Bank Rs. 10,000
- Trade creditors Rs. 10,000

Correct answer solved by Had
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- Trade debtors Rs. 10,000

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Question No : 40 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following account would be credited when rent expenses of Rs. 1,000 incurred but not yet paid till the end of accounting period?

Answer (Please select your correct option)

- Cash Rs. 1,000
- Rent expense Rs. 1,000
- ☑ Accrued rent Rs. 1,000

Correct answer solved by Hadi
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- Prepaid rent Rs. 1,000

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Question No : 41 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Company accounts shows debtors of Rs. 100,000 and a provision for doubtful debts of Rs. 10,000. The company wishes to increase its provision to 10% of the debtors. Whic of the following is **TRUE**?

Answer (Please select your correct option)

- Profit and loss account is debited by Rs. 10,000
- Sundry debtors account is credited by Rs. 10,000
- No need to pass a journal entry
- Provision for doubtful debts account is credited by Rs. 10,000

Made by: Waqar Siddhu

Question No : 42 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Being an accountant you are asked to enter the return outwards Rs. 1,000 in control account. The entry should be made on the:

Answer (Please select your correct option)

- ☑ Debit side of creditors control account

Correct answer solved by Hadi
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- Credit side of creditors control account
- Debit side of debtors control account
- Credit side of debtors control account

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Question No : 43 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Sales day book overcast by Rs. 5,000. The rectification of this entry will:

Answer (Please select your correct option)

a. Increase net profit by Rs. 5,000

b. Decrease net profit by Rs. 5,000

c. Increase assets by Rs. 5,000

d. Decrease assets by Rs. 5,000

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Question No : 44 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Purchases return day book undercast by Rs. 5,000. The rectification of this entry will:

Answer (Please select your correct option)

d. Increase net profit by Rs. 5,000

Correct answer solved by Hadi
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a. Decrease net profit by Rs. 5,000

b. Increase assets by Rs. 5,000

c. Decrease assets by Rs. 5,000

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Question No : 45 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following would be debited in rectified entry if the book-keeper has discovered the error "Purchases return day book overcast by Rs. 5,000"?

Answer (Please select your correct option)

a. Return inwards account Rs. 5,000

b. Sunday debtors account Rs. 5,000

c. Sundry creditors account Rs. 5,000

d. Return outwards Account Rs. 5,000

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Question No : 46 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Direct cost incurred to manufacture the products that are sold during the period is amounting to Rs. 25,000 and revenue against the sale of the product is Rs. 30,000. Sale o scrap is Rs. 1,000. Operating expenses are Rs. 4,000. What is amount of total revenue based on the given information?

Answer (Please select your correct option)

- Rs. 26,000
- Rs. 31,000 ✓ — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Rs 6,000
- Rs. 5,000

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Question No : 47 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Following information is available of Arslan brothers at the end of the year.

- Capital at the start of the year Rs. 200,000
- Capital at the end of the year Rs. 210,000
- Total drawings for the period Rs. 10,000

Which of the following is the amount of profit for the period based on the above information?

Answer (Please select your correct option)

- Rs. 400,000
- Rs. 420,000
- Rs. 220,000
- Rs. 20,000 ✓ — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306

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Question No : 48 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following account would be debited if an organization initially recorded the rent account as an asset in trial balance and found rent expired of Rs. 4,500 at the end o the year?

Answer (Please select your correct option)

- Rent account ✓ — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Prepaid rent account
- Outstanding rent account
- Unearned rent account

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Question No : 49 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Accounting record of a partnership business having two partners "A" and "B" shows that opening and closing balance of A's current account are Rs. 35,000 and Rs. 10,00 respectively, drawings of partner – "A" is Rs. ? , and profit distributed to "A" is Rs. 15,000. Which of the following is the drawings of partner – "A" in the partnership firm?

Answer (Please select your correct option)

- Rs. 25,000
- Rs. 45,000
- Rs. 40,000
- Rs. 5,000

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Question No : 50 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Accounting record of a partnership business having two partners "A" and "B" shows that closing balance of A's current account is Rs. 65,000, mark up on capital of partner – "A is Rs. 2,000, and profit distributed to "A" is Rs. 25,000. Which of the following is the opening balance of A's current account in the partnership firm?

Answer (Please select your correct option)

- Rs. 38,000

Correct answer solved by Hadi
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- Rs. 42,000
- Rs. 27,000
- Rs. 40,000

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Question No : 51 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Particulars	Rs.
Debentures	1, 50, 000
Share Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
Total Equity	350,000

Answer (Please select your correct option)

- 15: 20 (or 3:4)
- 15:24 (or 5: 8)
- 15:29
- 15:35 (or 3: 7)

Correct answer solved by Hadi
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Question No : 52 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

The cost of a motor van on 1st January is Rs. 40,000. Two years later the book value is Rs. 20,000. Which of the following would be the estimated useful life of a motor van under straight line method?

Answer (Please select your correct option)

- 4 years
- 2 years
- 8 years
- Cannot be determined

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Question No : 53 of 60 — **Marks: 3 (Budgeted Time 6 Min)**

During the current year, a company declared and paid Rs. 60,000 cash dividend and 10% stock dividend. How will these two items be treated on the current year's Statement o Cash Flows?

Answer (Please click here to Add Answer)

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Question No : 54 of 60 — **Marks: 3 (Budgeted Time 6 Min)**

Accounting record of a partnership business having two partners "A" and "B" shows that net profit for the year is Rs. 100,000, salaries of partner – "A" and "B" are Rs. 15,000 Rs 20,000 respectively.

Required:

Calculate the amount of distributable profit for the partnership firm.

Answer (Please click here to Add Answer)

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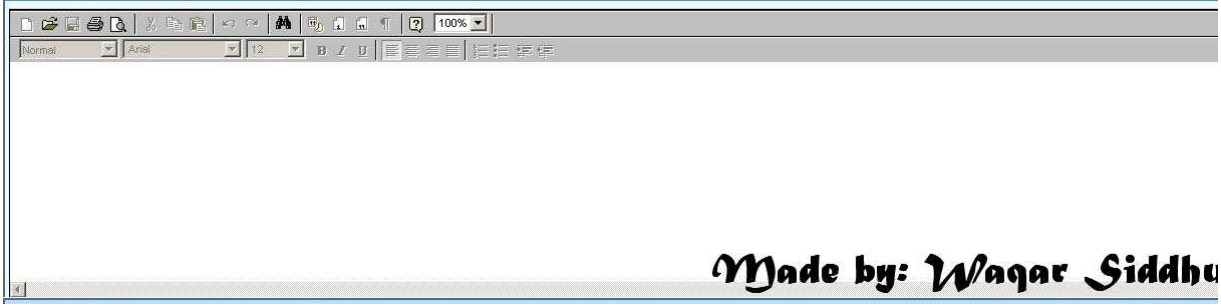
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Question No : 55 of 60 Marks: 3 (Budgeted Time 6 Min)

What do you know about Cost of goods sold?

Answer (Please click here to Add Answer)

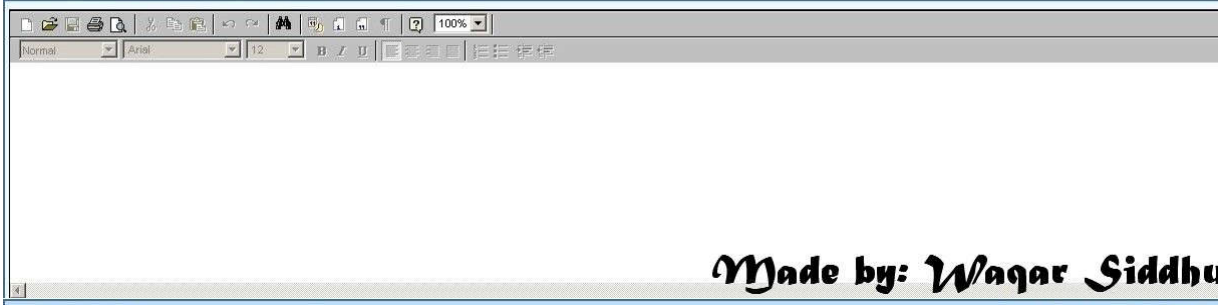


Question No : 56 of 60 Marks: 5 (Budgeted Time 10 Min)

Prepare Bank Reconciliation Statement with the help of given data

Particulars	Rs.
Balance as per Bank statement (Cr)	600
Unpresented cheques	1,440
Uncredited cheques	260

Answer (Please click here to Add Answer)

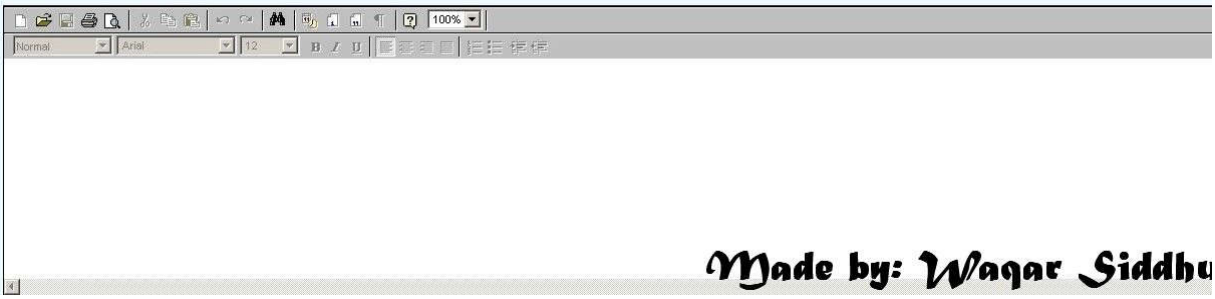


Question No : 57 of 60 Marks: 5 (Budgeted Time 10 Min)

Identify whether the following items are the parts of Trading Account or Profit and Loss Account by filling the appropriate boxes. Example is given as a sampl to attempt the question.

Items	Trading Account / Profit & Loss Account
EXAMLE:	

Answer (Please click here to Add Answer)



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Question No : 58 of 60 — **Marks: 5 (Budgeted Time 10 Min)**

Particulars	Rs.
Raw Material - Opening Stock	10,000
Raw Material – Purchases	2,000
Raw Material - Closing Stock	3,000
Packing Material - Opening Stock	4,000
Packing Material – Purchases	5,000

Answer (Please click here to Add Answer)

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Question No : 59 of 60 — **Marks: 5 (Budgeted Time 10 Min)**

Following information is available of a sole trader Mr. Shahbaz.

Particulars	Rs.
Capital balance at the start of the year	25,000

Answer (Please click here to Add Answer)

Made by: Waqar Siddhu

Question No : 60 of 60 — **Marks: 5 (Budgeted Time 10 Min)**

Following is the information of "A" and "B" of their partnership business.

- Opening balance of A's current account and B's current account Rs. 8,000 and Rs. 10,000 respectively
- Loss shared by "A" and "B" Rs. 6,000 and Rs. 8,000 respectively
- Salaries of "A" and "B" Rs. 4,000 and Rs. 3,000 respectively
- Drawings of "A" and "B" Rs. 3,000 and Rs. 4,000 respectively

Answer (Please click here to Add Answer)

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Question No : 1 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

Answer (Please select your correct option)

- Partnership
- Company ✓ — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Sole proprietorship
- None of the given options

Question No : 2 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Shares for which amount is paid by public are called _____ shares.

Answer (Please select your correct option)

- Paid up
- Authorized
- Bonus shares
- All are correct options

Question No : 3 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Bank book is part of:

Answer (Please select your correct option)

- Voucher
- General Journal
- General Ledger — Correct answer solved by Hadi Email : usmanraj20 @gmail.com Cell no. 03228043306
- Trial Balance

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Question No : 4 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

Answer (Please select your correct option)

- (1) & (2) only
- (2) & (3) only
- (1) & (3) only
- (1), (2) & (3)

Question No : 5 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following organizations do **NOT** prepare Income & Expenditure account?

Answer (Please select your correct option)

- Public limited companies
- Private limited companies
- Partnership firms
- All of the given options

Correct answer solved by Hadi
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Made by: Waqar Siddhu

Question No : 6 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If the cost of sales is Rs.1,00,000, sales are Rs. 300,000 and operating expenses Rs. 200,000 during the year. What would be the Gross Profit?

Answer (Please select your correct option)

- Rs. 5,000
- Rs. 1, 00,000
- Rs.1, 05,000
- Rs. 2, 00,000

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Question No : 7 of 60 **Marks: 1 (Budgeted Time 1 Min)**

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs 2,500?

Answer (Please select your correct option)

- Rs. 6,000
- Rs. 8,000
- Rs. 4,500
- Rs. 10,500

Correct answer solved by Hadi
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Question No : 8 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

Answer (Please select your correct option)

- Rs. 205,000
- Rs. 215,000
- Rs. 220,000
- Rs. 225,000

Question No : 9 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Bad debts written off (given in adjustment) always affect the:

Answer (Please select your correct option)

- Debtors account

Correct answer solved by Hadi
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- Creditors account
- Cash account
- Capital account

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Question No : 10 of 60 **Marks: 1 (Budgeted Time 1 Min)**

The Joint Stock Company is formed under the Companies Ordinance:

Answer (Please select your correct option)

- 1984
- I884
- 1948
- 1965

Question No : 11 of 60 **Marks: 1 (Budgeted Time 1 Min)**

The income statement of the Limited company is also known as:

Answer (Please select your correct option)

- Manufacturing account
- Profit and Loss account

Correct answer solved by Hadi
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- Profit and Loss Appropriation account
- Current Account

Question No : 12 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is **NOT** a cash inflow?

Answer (Please select your correct option)

- Sale of fixed asset
- Issue of debentures
- Cash from business operation
- Purchase of fixed asset

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Question No : 13 of 60 **Marks: 1 (Budgeted Time 1 Min)**

An example of financing activities in the context of cash flow statement is:

Answer (Please select your correct option)

- Capital expenditures on purchase of fixed assets
- Long-term deposit
- Financial charges paid
- Dividend paid

Correct answer solved by Hadi
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Question No : 14 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is a type of business formed under the Companies Ordinance 1984?

Answer (Please select your correct option)

- Sole-Proprietorship
- Partnership
- Joint Stock Company
- All of the given options

Question No : 15 of 60 **Marks: 1 (Budgeted Time 1 Min)**

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. Wha was the net income or net loss for the accounting period?

Answer (Please select your correct option)

- Net loss of Rs.1, 000
- Net income of Rs. 1,000

Correct answer solved by Hadi
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- Net loss of Rs. 2,000
- Net income of Rs. 2,500

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Question No : 16 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Mr. Ali's bank book shows a debit balance of Rs.68,000. He issued a cheque of Rs.7,000 but not yet paid by the bank. What will be the balance of bank statement?

Answer (Please select your correct option)

- Rs. 61,000
- Rs. 75,000
- Rs. 68,000
- Rs. 30,000

Question No : 17 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following statement is true regarding the income statement?

Answer (Please select your correct option)

- The income statement is sometimes called the statement of operations

Correct answer solved by Hadi
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- The income statement reports revenues, expenses, and liabilities
- The income statement reports only revenue for which cash was received at the point of sale
- The income statement reports the financial position of a business at a particular point in time

Question No : 18 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Stockholder's equity would not be affected by:

Answer (Please select your correct option)

- Dividends to stockholders
- Net loss
- Purchase of land from the proceeds of bank loan
- Investments of cash by stockholders

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Question No : 19 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

Answer (Please select your correct option)

- Rs.40,000
- Rs.43,000 ✓
- Rs.130,000
- Rs.133,000

Correct answer solved by Hadi
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Question No : 20 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is quoted company?

Answer (Please select your correct option)

- Private Limited Company
- Public Limited Company
- Listed company
- Non Listed Company

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Question No : 21 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is also called acid-test ratio?

Answer (Please select your correct option)

- Current ratio
- Debt ratio
- Quick ratio
- Liquidity ratio

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Question No : 22 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is a book of original entry in which all the vouchers are recorded at first?

Answer (Please select your correct option)

- General Journal
- General Ledger
- Trial Balance
- Balance Sheet

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Question No : 23 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which one of the following methods for inventory valuation may overstate the income during the periods of rising prices?

Answer (Please select your correct option)

- FIFO Method
- LIFO Method

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- Weighted Average Method
- Specific Identification Method

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Question No : 24 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Particulars	Rs.
Opening written down value of machine	375,000
Cost of machine bought during the year	50,000
Depreciation during the year	11,000
Written down value of the Machine at the year end	?

Answer (Please select your correct option)

- Rs. 414,000

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- Rs. 425,000
- Rs. 386,000
- Rs. 61,000

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Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is **INCORRECT** about subsidiary account?

Answer (Please select your correct option)

- It is not a summary account
- It reduces the burden of control account

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- summarizes the total of related items from other accounts

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Question No : 25 of 60 Marks: 1 (Budgeted Time 1 Min)

Which of the following is **INCORRECT** about subsidiary account?

Answer (Please select your correct option)

- It is not a summary account
- It reduces the burden of control account
- It provides detailed information about individual accounts
- It summarizes the total of related items from other accounts

Made by: Waqar Siddhu

Question No : 27 of 60 Marks: 1 (Budgeted Time 1 Min)

Insurance paid in advance would be treated as:

Answer (Please select your correct option)

- Non current asset
- Current asset

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- Intangible asset
- Deferred expense

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Question No : 28 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

In balance sheet, liabilities are categorized as current and

Answer (Please select your correct option)

- Outstanding
- Unearned
- Long-term
- Accrued

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Question No : 29 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following is the new name of Sources and Application of Funds?

Answer (Please select your correct option)

- Income Statement
- Cash Flow Statement

Correct answer solved by Hadi
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- Statement of Changes in Owners Equity
- Balance Sheet

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Question No : 30 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Which of the following would be considered as non cash item in cash flow statement?

Answer (Please select your correct option)

- Depreciation
- Accounts receivable
- Accounts payable
- Inventory

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Question No : 31 of 60 **Marks: 1 (Budgeted Time 1 Min)**

A company pays cash to purchase the stock of another company in an unrelated industry. The cash outflow can be considered as an:

Answer (Please select your correct option)

- Operating activity that will appear on the statement of cash flows
- Operating activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry
- Investing activity that will appear on the statement of cash flows
- Investing activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry

Correct answer solved by Hadi
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Question No : 32 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If, Retain earning at the beginning Rs. 897, Net income Rs. 140, and Retain earning at the end Rs. 1,009. Then, which of the following figure represents the amount of dividend paid?

Answer (Please select your correct option)

- Rs. 28
- Rs. 252
- Rs. 739
- Rs. 2,046

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Question No : 33 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the given Asset is **Not** included in the calculation acid test ratio?

Answer (Please select your correct option)

- Stock
- Cash
- Debtors
- Bills Receivable

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Question No : 34 of 60 **Marks: 1 (Budgeted Time 1 Min)**

A concept used to measure monetary value of the transaction with regards to the purchase of a motor car is termed as:

Answer (Please select your correct option)

- Historical Cost Convention.
- Realization Principle.
- Money Measurement Concept.
- All of the given options.

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Question No : 35 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Mr. A paid to his creditor Rs. 10,000 and availed cash discount of Rs. 250. Mr. A should credit this cash payment to:

Answer (Please select your correct option)

- Creditor account.
- Cash account.
- Reduction in Liability account.
- Discount account.

Correct answer solved by Hadi
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Question No : 36 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If a company's net profit before tax is Rs. 580,000 and tax payable on this profit is 280,000. The pre-tax profit would be:

Answer (Please select your correct option)

- Rs. 380,000
- Rs. 300,000
- Rs. 280,000
- Rs. 580,000

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Question No : 37 of 60 **Marks: 1 (Budgeted Time 1 Min)**

If factory overhead cost and direct labour cost of SM Manufacturing concern is Rs. 45,000 and Rs. 35,000 respectively. What will be the Conversion cost if cost of direct material consumed is R 20,000?

Answer (Please select your correct option)

- Rs. 80,000
- Rs. 100,000 — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Rs. 55,000
- Rs. 65,000

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Question No : 38 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Wages of Rs. 1,000 paid for building foremen's offices should be treated as:

Answer (Please select your correct option)

- Capital expenditure
- Revenue expenditure
- Deferred revenue expenditure
- Capital loss

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Question No : 39 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Rs. 90,000 spent for constructing railway siding should be treated as:

Answer (Please select your correct option)

- Capital expenditure — Correct answer solved by Hadi Email : usmanraj20@gmail.com Cell no: 03228043306
- Revenue expenditure
- Deferred revenue expenditure
- Capital loss

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Question No : 40 of 60 **Marks: 1 (Budgeted Time 1 Min)**

When drawing-up a bank reconciliation statement, if you start with an unfavorable balance as per the bank statement, the interest credited by bank not entered in the cash book should be:

Answer (Please select your correct option)

- Added

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- Subtracted
- Multiplied
- Divided

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Question No : 41 of 60 **Marks: 1 (Budgeted Time 1 Min)**

The following information has been extracted from the accounting records of A Ltd.

Particulars	Rs.
Balance as per bank statement (unfavorable)	?
Deposits in transit	300

Answer (Please select your correct option)

- Rs. 1,700
- Rs. 2,100
- Rs. 2,300
- Rs. 2,700

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Question No : 42 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following account would be credited when there is a transaction for advances given to suppliers by S ltd. amounting to Rs. 5,000 through cheque?

Answer (Please select your correct option)

- Other receivables Rs. 5,000
- Cash Rs. 5,000
- Bank Rs. 5,000

Correct answer solved by Hadi
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- Trade debtors Rs. 5,000

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Question No : 43 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Company accounts shows debtors of Rs. 100,000 and a provision for doubtful debts of Rs. 8,000. The company wishes to increase its provision to 10% of the debtors. Which o the following is **TRUE**?

Answer (Please select your correct option)

- Provision for doubtful debts account is credited by Rs. 10,000
- Profit and loss account is debited by Rs. 10,000
- 4 Profit and loss account is debited by Rs. 2,000

Correct answer solved by Hadi
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- Provision for doubtful debts account is debited by Rs. 10,000

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Question No : 44 of 60 **Marks: 1 (Budgeted Time 1 Min)**

A firm has provision for doubtful debts of Rs. 1,200 and debtors of Rs. 18,000. The firm wishes to increase the provision by 5% of the debtors. Which of the following is credited

Answer (Please select your correct option)

- Provision for doubtful debts account Rs. 300
- Provision for doubtful debts account Rs. 900
- Profit and loss account Rs. 900
- 3 Profit and loss account Rs. 300

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Question No : 45 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following would be credited in rectified entry if the book-keeper has discovered the error "A cheque for Rs. 1,000 received from Mr. Shahbaz was credited to the account of Mr. Farhan"

Answer (Please select your correct option)

- 5 Mr. Shahbaz account Rs. 1,000

Correct answer solved by Hadi
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- Mr. Farhan account Rs. 1,000
- Cash account Rs. 1,000
- Assets account Rs. 1,000

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Question No : 46 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following should be debited in correct/original entry if the book-keeper has discovered the error "Goods costing Rs. 20,000 returned to suppliers but no entry was made in the books of accounts"?

Answer (Please select your correct option)

- Return inwards account Rs. 20,000
- Return outwards account Rs. 20,000
- Suppliers account Rs. 20,000
- Customers account Rs. 20,000

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Question No : 47 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Which of the following would be credited in rectified entry if the book-keeper has discovered the error "Goods costing Rs. 20,000 returned to suppliers but no entry was made in the books of accounts"?

Answer (Please select your correct option)

- Return inwards account Rs. 20,000
- Return outwards account Rs. 20,000

Correct answer solved by Hadi
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- Suppliers account Rs. 20,000
- Customers account Rs. 20,000

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Question No : 48 of 60 **Marks: 1 (Budgeted Time 1 Min)**

Goods costing Rs. 20,000 returned to suppliers but no entry was made in the books of accounts. The rectification of this entry will:

Answer (Please select your correct option)

- Increase net profit by Rs. 20,000
- Decrease net profit by Rs. 20,000
- Increase assets by Rs. 20,000
- Decrease assets by Rs. 20,000

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Question No : 49 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Sales day book overcast by Rs. 5,000. The rectification of this entry will:

Answer (Please select your correct option)

- Increase gross profit by Rs. 5,000
- Decrease gross profit by Rs. 5,000

Correct answer solved by Hadi
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- Increase assets by Rs. 5,000
- Decrease assets by Rs. 5,000

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Question No : 50 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

Accounting record of a partnership business having two partners "A" and "B" shows that net profit for the year is Rs. 50,000, salary of partner – "A" is Rs. 12,000, and salary o partner – "B" is Rs. 15,000. Which of the following is the amount of distributable profit for the partnership firm?

Answer (Please select your correct option)

- Rs. 50,000
- Rs. 23,000
- Rs. 77,000
- Rs. 27,000

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Question No : 51 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

"A" and "B" are partners in a partnership business. They need guidance about the treatment of specific items in Profit and loss appropriation account of partnership accounting Being an expert in accountancy suggest which of the following can become the part of Profit and loss appropriation account.

Answer (Please select your correct option)

- Mark up on drawings

Correct answer
solved by Hadi
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- Selling expenses
- Service revenue
- Administration expenses

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Question No : 52 of 60 — **Marks: 1 (Budgeted Time 1 Min)**

In statement of cash flows, a payment of cash dividends is related to:

Answer (Please select your correct option)

- Investing activity
- Financing activity
- Operating activity
- None of the given options

Correct answer solved by Hadi
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Question No : 53 of 60 — **Marks: 3 (Budgeted Time 6 Min)**

What do you know about the Profit and loss appropriation account in case of partnership?

Answer (Please click here to Add Answer)

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Question No : 54 of 60 — **Marks: 3 (Budgeted Time 6 Min)**

Calculate the amount of Current Assets to be shown in Balance Sheet from the information given below:

- Cash Rs. 50,000
- Accounts receivable Rs. 10,000
- Inventory Rs. 5,000
- Building Rs. 2,000

Answer (Please click here to Add Answer)

Current Assets
Cash 50000
A/R 10,000
Inventry 5000 65000

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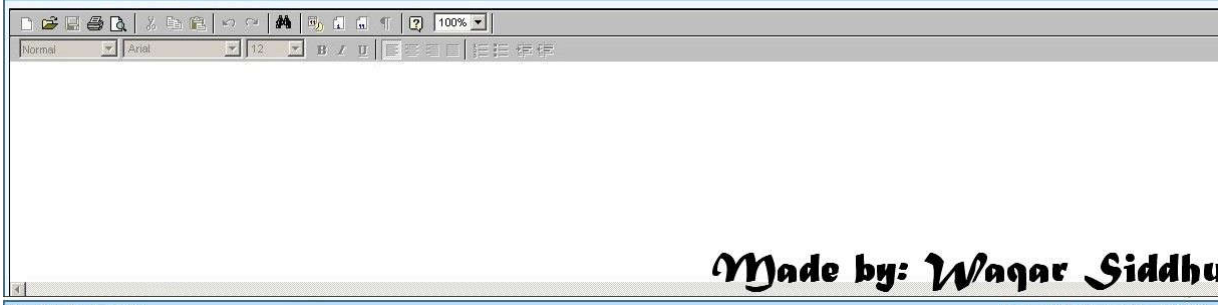
VMTN01 23/3 Officer Colony Near Chungi No 9 Bosan Road Multan

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Question No : 55 of 60 **Marks: 3 (Budgeted Time 6 Min)**

During the current year, a company declared and paid Rs. 60,000 cash dividend and 10% stock dividend. How will these two items be treated on the current year's Statement o Cash Flows?

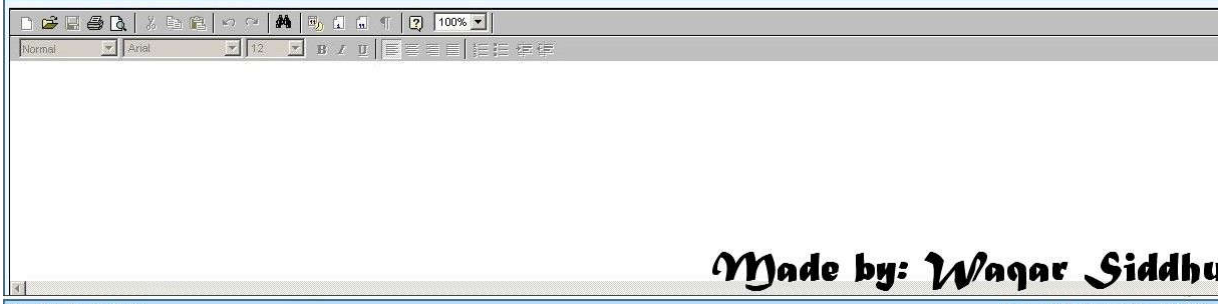
Answer (Please click here to Add Answer)



Question No : 56 of 60 **Marks: 5 (Budgeted Time 10 Min)**

Define "Cash flow from financing activities" in the context of cash flow statement with some examples.

Answer (Please click here to Add Answer)

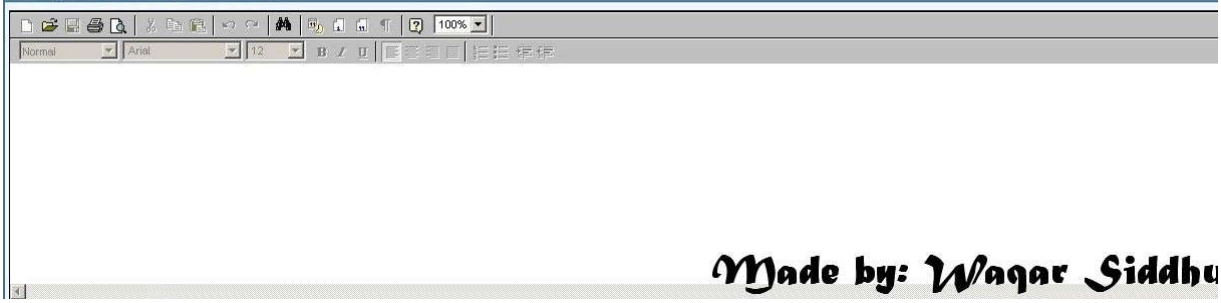


Question No : 57 of 60 **Marks: 5 (Budgeted Time 10 Min)**

Mr. Shahbaz bought the desired machine on 1st January, 2010 for Rs. 65,000 and the erection charges associated to erect the units are Rs. 5,000. The machine was depreciated @ 10% per annum end of each year on the original cost basis. On 1st July, 2011, a single unit which cost Rs. 10,000 originally was sold for a cash price of Rs. 7,000. Calculate the depreciation expense for the year 201

and 2011.

Answer (Please click here to Add Answer)



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Question No : 58 of 60 **Marks: 5 (Budgeted Time 10 Min)**

Following is the Sales Return Journal of T. Company ltd.

Date	Credit note	Name of Debtors	Rs.
10-12-2010	1	Mr. A	10,000
20-12-2010	2	Mr. B	20,000
31-12-2010	3	Mr. C	30,000

Answer (Please click here to Add Answer)

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Question No : 59 of 60 **Marks: 5 (Budgeted Time 10 Min)**

Following information is available of Shabaz & Co.

Particulars	Rs.
Operating expenses	4,000
Financial expenses	2,000
Gross income	20,000

Answer (Please click here to Add Answer)

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Question No : 60 of 60 **Marks: 5 (Budgeted Time 10 Min)**

Following is the information of "A" and "B" of their partnership business.

- Opening balance of A's current account and B's current account Rs. 8,000 and Rs. 10,000 respectively
- Loss shared by "A" and "B" Rs. 6,000 and Rs. 8,000 respectively
- Salaries of "A" and "B" Rs. 2,000 and Rs. 3,000 respectively
- Mark up on capital of "A" and "B" Rs. 3,000 and Rs. 4,000 respectively
- Mark up on drawings of "A" and "B" Rs. 1,000 and Rs. 2,000 respectively

Answer (Please click here to Add Answer)

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